FM Practice Quiz M5

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QUESTIONS

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Question 1

How does the credit spread typically change as the bond rating worsens?

- It decreases
- It increases
- It remains constant
- It fluctuates randomly

Question 2

What is the primary concern with a NINJA loan?

- High interest rates
- Short loan terms
- Complex repayment structure

- Lack of verified borrower information

Question 3

What is the primary purpose of securitization in the context of mortgages?

- To increase interest rates on mortgages
- To create new types of mortgages
- To transform illiquid assets into liquid securities
- To eliminate all risk from mortgage lending

Question 4

According to "The Relationship between Stock and Real Estate Prices in Turkey: Evidence around the Global Financial Crisis.", which of the following best describes the relationship between stock and real estate prices in Turkey during the pre-crisis period according to the study?

- Only the credit-price effect existed
- Neither credit-price nor wealth effects existed
- Both credit-price and wealth effects existed
- Only the wealth effect existed

Question 5

If a borrower has a mortgage with an LTV of 80% on a $250,000 home, what is the loan amount?

- $175,000
- $225,000
- $200,000

- $150,000

Question 6

If a borrower has a monthly income of $5000 and monthly debt payments of $1500 what is their debt-to-income (DTI) ratio?

- 20%
- 35%
- 25%
- 30%

Question 7

If a bond has a credit spread of 4% and a recovery rate of 60% what is the implied probability of default?

- 4%
- 10%
- 6.67%
- 2.40%

Question 8

How does a Credit Default Swap (CDS) differ from traditional insurance?

- There is no expiration date for CDS
- You can buy protection on something you don't own
- It doesn't require regular premium payments
- It only covers natural disasters

Question 9

What is the main issue with rating agencies being paid by the issuers of the debt they are rating?

- Regulatory constraints
- Conflict of interest
- Insufficient resources

Lack of expertise

Question 10

What does the LTV ratio represent in mortgage lending?

- The length of time it takes to repay the loan
- The interest rate on the mortgage
- The loan amount compared to the value of the property
- The borrower's monthly income compared to their debt payments

Question 11

How does leverage in the housing market typically manifest for individual homebuyers?

- Through low down payments and high debt-to-income ratios
- By avoiding mortgages altogether
- By maintaining low debt-to-income ratios
- Through high down payments on home purchases

Question 12

According to "Bonds", in the context of municipal bonds which of the following scenarios presents the highest risk to bondholders?

- Investing in conduit bonds issued on behalf of a well-established non-profit hospital
- Investing in general obligation bonds backed by a state's full taxing power
- Investing in municipal bonds that are filed with the Municipal Securities Rulemaking Board (MSRB)
- Investing in non-recourse revenue bonds where the specific revenue stream has significantly decreased

Question 13

What is the primary difference between a firstlien and second-lien mortgage?

- Mortgage prepay schedule
- The priority of repayment in case of default
- The loan term
- The loan amount

Question 14

According to "Mortgage Back Securities Overview", what is the name of the organization that holds mortgage backed securites an investment bank can sell?

- Credit Union
- Asset Management Company
- Special Purpose Entity

- National Financial Trust

Question 15

How might the credit-price effect influence an investor's decision when choosing between two similar companies, one with significant real estate holdings and one without?

- The credit-price effect would have no impact on the investor's decision
- The investor would always choose the company without real estate holdings

- The investor might prefer the company with real estate holdings due to potentially lower financing costs
- The investor would avoid both companies due to real estate market volatility

Question 16

According to "Stakes Sensitivity and Credit Rating: A New Challenge for Regulators.", what challenge do the authors present for regulators regarding the current use of credit rating agency (CRA) ratings?

- To show that the harm from acting on ratings lacking epistemic status for investors is outweighed by the benefits
- To make CRAs legally liable for any losses resulting from their ratings
- To require CRAs to only issue ratings that have epistemic status for all possible users
- To completely ban the use of credit ratings in financial regulation

Question 17

What is the primary purpose of a cash-out refinance?

- To purchase a new property
- To withdraw equity from a property as cash
- To extend the term of an existing mortgage
- To lower the interest rate on an existing mortgage

Question 18

Which of the following best describes the concept of prepayment risk in mortgage-backed securities?

- The risk that interest rates will rise significantly

- The risk that borrowers will pay off their mortgages earlier than expected
- The risk that the housing market will crash
- The risk that borrowers will default on their mortgages

Question 19

According to the credit-price effect, how does an increase in real estate prices typically affect a company's ability to borrow?

- It allows companies to borrow more at cheaper rates
- It has no effect on companies' borrowing capacity

- It reduces companies' ability to borrow due to increased collateral requirements
- It forces companies to rely more on equity financing

Question 20

In "Do House Prices Influence Stock Prices? Empirical Investigation from the Panel of Selected European Union Countries.", according to the study's panel DOLS results, what is the overall relationship between house prices and stock prices in the EU countries examined?

- The relationship varies significantly among countries with no clear overall trend
- A 1% increase in house prices leads to a 1.7405% increase in stock prices
- There is no significant relationship between house prices and stock prices
- A 1% increase in house prices leads to a 1.7405% decrease in stock prices

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